

“It is clear . . . that the investor who favors the Cudahy first-lien 5s [yielding 5½ versus the junior 5½’s yielding over 20%] is paying a premium of about 15% per annum (the difference in yield) for only a *partial* insurance against loss. On this basis he is undoubtedly giving up too much for what he gets in return. . . . [On the other hand,] where the first-mortgage bond yields only slightly less, it is undoubtedly wise to pay the small insurance premium for protection against unexpected trouble.” (Chap. 6) [What matters is the relationship between the risk borne and the potential return to be received.]

[In reviewing bond collapses among railroads between 1931 and 1933,] “the fault appears to be that the stability of the transportation industry was overrated, so that investors were satisfied with a margin of protection which proved insufficient. *It was not a matter of imprudently disregarding old established standards of safety . . . but of being content with old standards when conditions called for more stringent requirements.* . . . If [the investor] had required his railroad bonds to meet the same tests that he applied to industrial issues, he would have been compelled to confine his selection to a relatively few of the strongly situated lines. As it turned out, nearly all of these have been able to withstand the tremendous loss of traffic since 1929 without danger to their fixed charges.” (Chap. 7, emphasis added) [Issuers can’t be assumed to be stable and unchanging; the potential for deterioration and disruption must be considered (certainly now more than ever).]

It is clear that Graham and Dodd are insistent on substance over form, and on logic rather than rules. Credit standards must not be fixed but instead must change as the world changes. It’s how likely a bond is to pay that matters, not what it’s labeled. Mortgages are not automatically better than unsecured debentures. Senior bonds are not necessarily better buys than their juniors. Superior yield *can* render riskier issues more attractive than ostensibly safer ones.

Although the stilted language of 80 years ago initially masks this point, a thorough reading makes it clear that Graham and Dodd are true investment pragmatists. More echoing Keynes than diverging